believed that the RBI has been given almost working autonomy in this area. In most of the developed economies, the central bank functions with autonomous powers in this area (bifurcation of politics from the economics). Though we lack such kind of officially open autonomy for the RBI, we have learnt enough by now and are better off today.

There are many tools by which the RBI regulates the desired/required kind of the credit and monetary policy—CRR, SLR, Bank Rate, Repo rate, Reverse Repo rate, PLR, Exim interest rate, Small Saving Schemes' interest rates (SSSs), interest changes for the instruments of the Money Market, etc.

CRR

The cash reserve ratio (CRR) is the ratio (fixed by the RBI) of the total deposits of a bank in India which is kept with the RBI in cash form. This was fixed to be in the range of 3 to 15 per cent.[3] A recent Amendment (2007) has removed the 3 per cent floor and provided a free hand to the RBI in fixing the CRR.

At present it is 4.75 per cent and a 1 per cent change in it today affects the economy with `64,000 crore[4] —an increase sucks this amount from the economy while a decrease injects this amount into the economy.

Following the recommendations of the Narasimham Committee on the Financial System (1991) the Government started two major changes concerning the CRR:

(i) reducing the CRR was set as the medium-term objective and it was reduced gradually from its peak of 15 per cent in 1992 to 4.5 per cent by June 2003[5].

After the RBI (Amendment) Act has been enacted in June 2006, the RBI can now prescribe CRR for scheduled banks without any floor or ceiling rate thereby removing the statutory minimum CRR limit of 3 per cent.[6]

(ii) Payment of interest by the RBI on the CRR money to the scheduled banks started in financial year 1999–2000 (in the wake of banking slow down). Though the RBI discontinued interest payments from mid-2007.[7]